

BANARAS HINDU UNIVERSITY

B.Com. (Hons.) — Semester V Examination, 2022-23

Paper No. BCH-312: Income Tax Law and Accounts

Time: 3 Hours

Maximum Marks: 70

*Instructions: Attempt all questions. All questions carry equal marks (14 marks each).***Question 1.**

The following are the incomes of Mr. 'X' for the previous year 2021-22:

- | | |
|---|------------|
| (1) Dividend from Indian Company. | Rs. 10,000 |
| (2) Profit from Business in Sri Lanka received in India. | Rs. 12,000 |
| (3) Profit from Business in Nepal deposited in Bank there. This business is controlled from India. | Rs. 20,000 |
| (4) Profit from business in Varanasi (Controlled by Canada Head Office). | Rs. 11,000 |
| (5) Interest received from a Non-resident Mr. 'Y' on the loan provided to him for a business carried on in India. | Rs. 5,000 |
| (6) Income was earned in Uganda and received there but brought in India. | Rs. 8,000 |
| (7) Share of income from Indian partnership firm. | Rs. 15,000 |
| (8) Rent from house property in India received in America. | Rs. 20,000 |
| (9) Interest on debentures of an Indian Company received in Dubai. | Rs. 3,000 |
| (10) Capital Gain on sale of agricultural land situated in Mirzapur (urban area). | Rs. 8,000 |

Compute his Gross total income, if he is:

- (a) Ordinary resident
- (b) Not-ordinarily resident
- (c) Non-resident

*[14]***OR**

“Income tax is charged on the income of the previous year”. Do you fully agree with this statement? If not, what are the exceptions?

*[14]***Question 2.**

Mr. Shiva who is employed as Manager in a factory in Varanasi and is covered under the Payment of Gratuity Act, 1972 retired on 31 extsuperscriptst December, 2021 after completing 34 years of service. At the time of retirement the employer paid him a gratuity of Rs. 5,10,000 and the accumulated balance of Recognised Provident Fund Rs. 2,40,000. He is also entitled to a pension of Rs. 7,500 p.m. He commuted his half pension and received on 1 extsuperscriptst March, 2022 the Commuted Value of pension amounting to Rs. 2,70,000.

On the basis of the following information compute his income from salary for the assessment year 2022-23 assuming that salary and pension are due on the last day of the month:

- Basic Pay: Rs. 1,89,000 (Rs. 21,000 p.m. for 9 months)
- Dearness allowance: Rs. 45,000 (Rs. 5,000 p.m. for 9 months)
- Bonus: Rs. 4,000
- Project allowance: Rs. 3,000
- House rent allowance: Rs. 4,200 p.m.
- Rent paid: Rs. 3,000 p.m. for 12 months
- Employer's and employee's contribution to Recognized Provident Fund: Rs. 30,000 each

[14]

OR

(a) How would you determine the annual value of a house property which remained vacant for part of the previous year? [7]

(b) Compute taxable income from house property from the following information (Assessment Year 2022-23):

(i) Fair Market Rent	Rs. 80,000
(ii) Actual Rent received	Rs. 72,000
(iii) Municipal valuation	Rs. 50,000
(iv) Standard Rent	Rs. 60,000
(v) Municipal Taxes	20%
(vi) Interest paid	Rs. 18,000

[7]

Question 3.

Shri 'S' furnishes the following information relevant for the Assessment year 2022-23:

Profit & Loss Account for the year ended 31 extsuperscriptst March, 2022

Particulars	Amount (Rs.)	Particulars	Amount (Rs.)
To Office expenses	45,000	By Gross Profit	3,43,000
To Sundry expenses	39,000	By Sundry receipts	11,000
To Entertainment expenses	15,000	By Bad debts recovered (Not allowed earlier)	7,100
To Audit fee	12,000	By Customs duties recovered from the Government (Allowed earlier as deduction)	32,500
To Legal charges	4,000	By Gifts received from father	1,43,000
To Extension of building	6,000		
To Depreciation on Plant & Machinery	23,000		
To Salary to staff	43,000		
To Bonus to staff	36,000		
To Contribution towards Recognised Provident Fund	15,000		
To Contribution towards unapproved Gratuity Fund	4,000		
To Provision for Goods and Services Tax	25,000		
To Goods and Services Tax	38,000		
To Payment to a National laboratory for Scientific research	49,600		
To Net Profit	1,82,000		
Total	5,36,600	Total	5,36,600

Additional information:

- Payment to a National laboratory is for the purpose of carrying on approved scientific research, not related to the business. Besides, 'S' purchases a plant of Rs. 30,000 for the purpose of carrying on Scientific research related to his business. Neither Cost of plant nor depreciation thereon is debited to Profit & Loss account.
- Depreciation on Plant and Machinery and extension of building as per income-tax rule is Rs. 19,000.
- Goods and Services Tax of Rs. 38,000 includes interest for late payment of GST Rs. 1,200 and penalty for evading GST Rs. 10,000.
- Provision for GST is however paid on July 10, 2022. Evidence of payment is submitted along with the return of income.
- Salary to Staff includes a payment of pension of Rs. 8,000 to the widow of a former employee.

Compute income from business of Shri 'S' for the Assessment year 2022-23.

[14]

OR

Enumerate expenses which are allowed in computing taxable profits of a business and also state expenses or losses which are not admissible. [14]

Question 4.

From the following information compute the taxable capital gains for the assessment year 2022-23:

- (a) 'A' purchased a house property in May, 2010 for Rs. 16,70,000.
- (b) 'A' sold the property on 20 extsuperscriptth June, 2021 for Rs. 80,00,000.
- (c) Stamp Valuation Authority valued the property Rs. 90,00,000 which is not objected by the seller or the buyer of the house.
- (d) On 15 extsuperscriptth November, 2022 'A' purchased a residential flat Rs. 25,00,000.
- (e) 'A' deposited Rs. 10,00,000 in Capital Gain Account Scheme, 1988.

[14]

OR

Write short notes on the following:

- (a) Bond Washing Transactions
- (b) Family Pension
- (c) Deductions U/S 80 D and U/S 80 TTB of Income Tax Act, 1961

[14]

Question 5.

From the following information compute Gross Total Tax (old regime) for the Assessment year 2022-23:

- | | |
|--|--------------|
| (i) Gross Salary | Rs. 7,25,000 |
| (ii) Interest on N.S.C. | Rs. 8,000 |
| (iii) Interest on Saving Bank Deposit | Rs. 2,000 |
| (iv) Expenses on the rehabilitation of handicapped son | Rs. 10,000 |
| (v) Deposited in Recognized Provident Fund | Rs. 15,000 |
| (vi) Life Insurance Premium | Rs. 5,000 |

[14]

OR

- (a) When does the liability to pay advance tax arise? When such a tax is to be paid? [7]
- (b) What is ex-parte assessment? In what circumstances can it be made? [7]

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